

Democrats now have edge to flip Senate

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【メール原文】

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Daily Brief

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summary

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EG gives Democrats an edge to win a Senate majority (55% odds) in the midterm elections, driven in part by sustained polling leads in crucial states.

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A further extension of the US-China trade truce beyond January is our basecase after the US announced a two-month renewal, shorter than both sides had wanted.

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Among the new risks of AI: Capable models lower the barrier to entry for bad actors, while the institutional response has been weak.

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The political and financial costs of the UK's joint fighter system with Japan and Italy make reversal unlikely but not impossible.

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Countries and sectors in this edition of the Daily Brief include the US, China, Ethiopia, Guatemala, Italy, Japan, Russia, the UK, aerospace, defense, energy, geo-technology, sustainability, and trade.

the top line

US—Democrats are now narrow Senate favorites

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EG now gives Democrats a slight edge to win a Senate majority (55% odds), driven by a substantial shift in the generic congressional ballot and sustained polling leads for the party in crucial states.

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If Democrats flip North Carolina as expected and hold all their current seats, they will need to win three of five key races—out of Maine, Texas, Ohio, Alaska, and Iowa—to claim the Senate majority, with weaker-than-expected polling in Michigan, New Hampshire, and Minnesota leaving them as only narrow favorites.

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Democratic control of the Senate in addition to the House would not have major policy ramifications over the course of 2027 and 2028, beyond holding up White House nominations for executive and judicial positions. However, winning the Senate this year would give Democrats a head start on retaining control in 2028.

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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

US, Energy—Chart of the Day

US, China, Trade—Truce extension shortened to press Beijing on magnets

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US Treasury Secretary Scott Bessent announced a two-month extension of the US-China trade truce (suspending tariffs, export controls, and port fees) through 10 January 2027. This is shorter than Beijing's reported preference for one to two years, and the six months the White House had wanted, but is unlikely to increase tensions.

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A further extension beyond January is our basecase. Washington pushed for a shorter window because Beijing has kept US buyers of rare-earth magnets on a tight leash while magnet exports elsewhere recovered. Allowing the truce to lapse would restore suspended export controls, and given US vulnerabilities, neither government has an interest in renewed escalation. Beijing is focused on stability ahead of next year's Party Congress.

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A shorter extension increases pressure to deliver near-term commitments. Washington will likely seek rare-earth export licenses and agricultural purchases. Beijing will likely expect Washington to maintain its delay on arms sales to Taiwan.

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Read more here . Reach out to discuss: china@eurasiagroup.net .

Geo-technology—The most immediate risks of AI

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We get what we ask for, not what we want. The problem predates AI, but the speed and scale at which these systems act on flawed instructions are new. Capable models lower the barrier to entry for bad actors; open-weight models lag on safety while running months behind the frontier.

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Someone will connect a capable model to a high-stakes system—a payments queue, a grid dispatch tool, a clinical scheduler—and leave the model to run on its own. A capable bot earns more trust than it deserves. When something goes wrong, no one owns the risk, and contracts set the rules.

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The institutional response has been weak. President Donald Trump rejected international AI supervision as a globalist scheme. The technology is not the hard part; the hard part is asking institutions to govern something moving faster than they are, as institutions are being weakened.

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Read more here . Reach out to discuss: geo-technology@eurasiagroup.net .

UK, Italy, Japan, Aerospace & Defense—Fighter system will advance amid fiscal risks

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The UK's Defense Investment Plan now locks in £8.6 billion over four years for the country's joint Global Combat Air Programme (GCAP) with Japan and Italy, backed by major contracts and growing allied interest, with political and financial costs making reversal unlikely but not impossible.

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GCAP is emerging as the only viable export-oriented sixth-generation fighter program for partners excluded from US and Chinese systems or seeking to diversify away from Washington, but it is not a substitute for Europe's failed Future Combat Air System, especially for Germany.

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Even as Canada and India consider further involvement, the program's long-term trajectory still depends on a politically fragile, GDP-linked UK defense spending path and a deteriorating fiscal position that will be stress-tested by London's Autumn Budget.

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Read more here . Reach out to discuss: aerospacedefense@eurasiagroup.net .

upcoming conference calls

25 September 8:45 AM ET—US diesel export restrictions. Register here .

eg in depth

Russia—Russia likely to overshoot 2027 deficit target despite new taxes: Russia's Finance Ministry presented a 2027 budget on 24 September to narrow its fiscal deficit—driven by high military spending and weaker revenue—from almost 3% of GDP in 2026 to 2%. But the plan rests on growth and inflation assumptions that are likely too optimistic. Russia's fiscal math depends on a level of discipline the government has not demonstrated: it requires Moscow to contain military spending while cutting civilian outlays, which it failed to do in 2026. The budget will sharply slow growth in private real incomes and investment, widening the divide between Russia's military and civilian economies. Moscow is turning to tax hikes to finance spending, doubling the dividend tax on Western companies still operating in Russia to 35% and imposing a windfall tax on non-oil exporters that could weigh on future production. As war costs rise, additional increases could strain businesses. Read more here . Reach out to discuss: europe@eurasiagroup.net .

Sustainability, Geo-technology—Rising stakes of AI techlash will push hyperscalers toward better stewardship: The environmental footprint of data centers, together with rising physical climate risks, has made the AI industry a focal point for scrutiny over sustainability. Data centers' concentration in populated, heat- and water-stressed regions means the industry will remain especially vulnerable to sustainability restrictions, permitting delays, and calls for transparency over resource consumption for the foreseeable future. Hyperscalers will likely try to ease local opposition and resource pressures through stewardship initiatives, such as clean power procurement and more efficient infrastructure, although high costs, weak incentives, and persistent local skepticism will remain obstacles. Read more here . Reach out to discuss: sustainability@eurasiagroup.net .

Guatemala—Budget approval likely as 2027 election maneuvering begins: Congress will likely approve President Bernardo Arevalo's record-high 2027 budget by the 30 November deadline, as lawmakers move to secure funding for regional development councils and shore up their reelection chances ahead of the 2027 election cycle. Officials will likely struggle to fully execute the budget, but a recent fuel tax exemption driven by mounting social discontent over prices is indicative of fiscal pressures that could widen the deficit. The 2027 election is shaping up to be a highly fragmented race that favors conservatives and outsiders, while revamped electoral institutions will still hold veto power over candidate approval but are likely to be less disruptive than in 2023. Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Ethiopia—Renewed conflict raises pressure on Addis Ababa as stability holds for now: Seven armed groups, including the Tigray People's Liberation Front (TPLF) and Amhara Fano National Movement, formed the Ethiopian Peoples' Forces Alliance for Survival on 20 September, pledging to oust Prime Minister Abiy Ahmed. Tigrayan forces then seized the regional capital's airport. The new alliance is unlikely to sustain coordinated action: the groups lack the financing or logistics for large-scale conflict. Geographic dispersion and unresolved rivalries, including TPLF-Amhara Fano disputes over Western Tigray governance, will also limit cohesion. The recent escalation will likely intensify Addis Ababa's drone strikes on Tigray. But Abiy, eager to portray the TPLF as aggressor, is unlikely to widen the fighting dramatically, though that calculation could change if Eritrea shifts to direct involvement. Read more here . Reach out to discuss: africa@eurasiagroup.net .

Upcoming events:

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27 September: Events: UK Labour Party annual conference opens in Liverpool, through 30 September.

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28 September: Data: China industrial profits, India industrial production, Mexico trade.

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29 September: Events: US import bans on certain Canadian products take effect; Data: Eurozone economic and consumer confidence, US Conference Board consumer confidence and JOLTS job openings; Central bank decision: Australia.

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30 September: Events: US Defense Secretary Pete Hegseth is expected to deliver the "State of the Force" address at the Pentagon; Data: China PMIs, France, Germany, Italy, and Poland CPI, Japan and South Korea industrial production, Russia unemployment, US consumer income, PCE price index, GDP, and ADP employment change; Central bank decision: Colombia.

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1 October: Events: Hong Kong markets close and mainland China markets close through 7 October for China's National Day; Data: Indonesia, South Korea manufacturing PMI, Eurozone unemployment, US construction spending, and ISM manufacturing.

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2 October: Events: India's stock market closes in observance of Mahatma Gandhi's birthday; Data: Brazil industrial production, Eurozone CPI, Japan unemployment, Russia GDP, US unemployment, nonfarm payrolls, and factory orders.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, Blaise Hanson, and Trista Kelley.

closing quip

"We're leading now over China by a lot and everyone else. And we're going to keep it that way. I'm not going to stifle growth of anything that's going to be bigger than the Industrial Revolution."—Trump said in a speech, referring to AI, at the UN General Assembly on 22 September.

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